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► **But there has been a 9.3% drop in India's arms imports between 2015-19 and 2020-24, partly due to rise in domestic manufacturing**

► **Indigenous defence production has grown 174% from ₹46,429 crore in FY15 to over ₹1.27 lakh crore in FY24**

► **Exports jumped about 34 times from ₹686 crore in FY14 and to ₹23,662 crore in FY25. About 65% of the products exported were made by the private sector**

► **By 2029, the government expects domestic production to rise to ₹3 lakh crore and exports to ₹50,000 crore**



ship has the potential to boost the country's defence and aerospace ecosystem and encourage other biggies to explore manufacturing tie-ups with Indian companies. At present, indigenous manufacturing is primarily driven by partnerships between government-run Defence Research and Development Organisation (DRDO) and industry.

SELF-RELIANCE GOAL

Operation Sindoor signalled that the growing confidence of armed forces in indigenous products would lower India's defence imports. India was the second-largest arms importer from 2020 to 2024; it accounted for 8.3% of global defence imports. The Stockholm International Peace Research Institute (SIPRI) data show that Russia, France and Israel were the biggest suppliers and together accounted for about 82% of India's global spending on arms during the period. The dependence on Russia has halved since 2010-14 to 36% as India stepped up purchases from France, Israel and the United States, besides boosting domestic production. SIPRI notes a 9.3% drop in India's arms imports between 2015-19 and 2020-24, "partly as the result of India's increasing ability to design and produce its own weapons."

Nonetheless, the overall defence spending may rise faster given the increased hostility in India's neighbourhood, the volatile geopolitical situation and the changing nature of warfare. India was the fifth-largest spender (\$86.1 billion) on arms in 2024. As this number rises in the coming years, local sourcing will rise. Initiatives such as Make in India, *Atmanirbhar Bharat Abhiyan* and easier regulations have put India on the path of becoming a major defence manufacturer. Already, indigenous defence production has

grown 174% from ₹46,429 crore in FY15 to over ₹1.27 lakh crore in FY24, government data show. This reduced the share of imports in defence purchases to about 35%. Parallely, exports jumped about 34 times, from ₹686 crore in FY14 to ₹23,662 crore in FY25. India's exports to about 100 countries include bulletproof jackets, Dornier aircraft, Chetak helicopters, fast interceptor boats and lightweight torpedoes. About 65% of the products exported were made by the private sector. The trend is expected to continue. "Boeing has quadrupled defence imports from India from \$250 million to \$1 billion in the last four years, and given the manufacturing capabilities of Indian defence players, we believe this can easily cross \$2 billion over the next few years," says Antique Stock Broking in a recent report. In the near term, the government expects domestic production to rise to ₹3 lakh crore and exports to ₹50,000 crore by 2029.

GROUND FOR GROWTH

The government has facilitated growth of the private sector in defence not only by giving it more orders but also providing a level-playing field. It has amended procurement policies to increase buying from the private sector and taken steps to improve the ease of doing business. The Defence Acquisition Procedure of 2000 provides specific reservations on orders up to ₹100 crore per year for MSMEs. Further, it is preferring competitive bidding, where both private and public companies can compete, over the cost-plus procurement model, which was based on nominations, mostly to public sector enterprises. For instance, it allowed the private sector to bid for manufacturing the advanced medium combat aircraft